

Chapter Review

Chapter Summary/Learning Objectives

2-1 Explain the concept of institutions and their key role in reducing uncertainty.

- Institutions are commonly defined as the rules of the game.
- Institutions have formal and informal components, each with different supportive pillars.
- Their key function is to reduce uncertainty, curtail transaction costs, and combat opportunism.

2-2 Articulate the two core propositions underpinning an institution-based view of global business.

- Proposition 1: Managers and firms *rationaly* pursue their interests and make choices within formal and informal institutional constraints in a given institutional framework.
- Proposition 2: When formal constraints are unclear or fail, informal constraints will play a *larger* role.

2-3 Identify the basic differences between democracy and totalitarianism.

- Democracy is a political system in which citizens elect representatives to govern the country.
- Totalitarianism is a political system in which one person or party exercises absolute political control.

2-4 Outline the differences among civil law, common law, and theocratic law.

- Civil law uses comprehensive statutes and codes as a primary means to form legal judgments.
- Common law is shaped by precedents and traditions from previous judicial decisions.
- Theocratic law is a legal system based on religious teachings.

2-5 Understand the importance of property rights and intellectual property rights.

- Property rights are legal rights to use an economic resource and to derive income and other benefits from it.
- Intellectual property refers to intangible property that is the result of intellectual activity.

2-6 Appreciate the differences among market economy, command economy, and mixed economy.

- A pure market economy is characterized by *laissez faire* and total control by market forces.
- A pure command economy is defined by government ownership and control of all means of production.
- Most countries operate mixed economies, with a different emphasis on market versus command forces.

2-7 Participate in two leading debates concerning politics, laws, and economics.

- (1) What drives economic development: Culture, geography, or institutions?
- (2) Private ownership versus state ownership

2-8 Draw managerial implications for action.

- Have a thorough understanding of the formal institutions before entering a country.
- Insisting on formalizing the contract in initial negotiations may backfire in some countries.